

Question:

Lauren is saving 20% of every paycheck. How many more years does Lauren need to work if she plans to save for a retirement period of 20 years, live with 40% of her current annual salary, and her current salary is \$100,000?

Reasoning + Answer:

To solve this problem, please follow the steps below: <think> 1. Lauren's current annual salary is \$100,000 2. She plans to save 20% of her annual salary 3. She wants to save for a retirement period of 20 years 4. Her desired annual savings amount = $\$100,000 * 20\% = \$20,000$ 5. Living with 40% of her salary does not affect the savings calculation 6. Lauren needs \$20,000 savings per year 7. Total savings required for 20 years = $\$20,000 * 20 = \$400,000$ 8. To calculate the time it will take to save \$400,000, we divide savings needed by the amount of salary she can save, which is \$20,000 9. Time required = $\$400,000 / \$20,000 = 20$ years Since Lauren wants to save for 20 years and it's taking her the same period, she doesn't need to work for more years. Therefore, Lauren does not need to work more years. </think>

